

Swati Chugh — IUL Policy Comparison: JH \$10M vs Lincoln \$5M

Full cost analysis | Charges breakdown | Cap rates | Output impact | Honest verdict | May 2026

1. POLICY AT A GLANCE

Factor	Lincoln WealthBuilder IUL (\$5M — April 2026)	John Hancock AIUL (\$10M — April 2026)	Which is Better?
Carrier	Lincoln National Life	John Hancock Life	Both A-rated
Death benefit	\$5,000,000	\$10,000,000	✓ JH — 2×
Insured age / class	Age 43, Female, Preferred NS	Age 44, Female, Preferred NS	Same
Annual premium (financed)	\$266,675/yr × 10 yrs	\$689,782/yr × 12 yrs (variable)	Lincoln simpler
Total premiums borrowed	\$2,666,750	\$6,347,244	JH larger loan
Your out-of-pocket cost	\$0	\$0	Same — \$0
Assumed return	7.19% (aggressive)	~6.00% (conservative)	✓ JH safer
Main index cap	13.50% (S&P; 500 TCA)	11.65% base / 14% Nasdaq	■ JH base lower
Floor (downside protection)	0% (guaranteed)	0% (guaranteed)	Same
Loan repayment year	Year 20 (Age 63)	Year 21 (Age 65)	JH 1yr later
Annual distributions	\$204,086/yr from Year 21	\$200,000/yr from Year 22	Lincoln slightly more
Distribution loan type	Policy loans (tax-free)	Policy loans (tax-free)	Same
Dist. policy loan rate	Fixed rate ~4%	3.25% yrs 1-10 / 3.00% yr 11+	✓ JH lower
Health/bonus rider	None	Vitality PLUS (earn credits for healthy habits)	✓ JH unique
Premium paying years	10 years (flat \$266k/yr)	12 years (variable, front-loaded)	Lincoln simpler

2. TOTAL COST BREAKDOWN — WHAT DOES EACH POLICY ACTUALLY COST?

Cost Component	Lincoln \$5M	JH \$10M	JH per \$5M equivalent	JH vs Lincoln (per \$5M)
A) POLICY CHARGES (reduce your policy value silently)				
Premium load	\$474,012	\$345,417	\$172,709	Lincoln 2.7× worse
Admin / Issue charges	~\$48,000	\$1,035,923	\$517,962	JH 10.8× worse ■
COI (Cost of Insurance)	~\$7,782	\$417,002	\$208,501	JH 26.8× worse ■
Rider charges	\$0	\$600	\$300	Same
TOTAL JH CHARGES	~\$529,751	\$1,798,942	\$899,471	JH 1.70× more expensive
B) BANK LOAN INTEREST (external lender — repaid from policy)				
Total premiums borrowed	\$2,666,750	\$6,347,244	\$3,173,622	
Total repaid to lender	\$5,237,646	\$9,196,929	\$4,598,465	

Bank profit (interest)	\$2,570,896	\$2,849,685	\$1,424,843	JH slightly higher
C) GRAND TOTAL ECONOMIC COST	~\$3,100,647	\$4,648,627	\$2,324,314	JH 1.50× more
Your cash out of pocket	\$0	\$0	\$0	SAME

KEY INSIGHT: The JH admin/issue charge (\$1,035,923) is 21× larger than Lincoln's (~\$48,000). This is the main driver of JH being 1.7× more expensive. The premium load is actually LOWER at JH (6-7%) vs Lincoln (~15%). Ask your broker: Why is the admin charge \$1M+ and what exactly does it cover?

3. HOW HIGHER CHARGES DIRECTLY HIT YOUR DISTRIBUTIONS

	Actual JH \$10M (current charges)	JH with Lincoln-level charges (hypothetical)	What You Lose with JH as-is
Extra charges vs Lincoln (20 yrs)	—	—	\$553,940 more
Lost compounding (6%/yr × 20yrs)	—	—	\$739,504 in yr 20 value
Policy value at Year 20	\$13,301,220	\$14,040,724	\$739,504 less
Loan repaid to bank (same)	\$9,196,929	\$9,196,929	No difference
Net cash after loan repaid	\$4,104,291	\$4,843,795	\$739,504 less
Annual tax-free distributions	\$200,000/yr	\$236,035/yr	\$36,035/yr less — FOREVER
Death benefit at age 70 (yr 26)	\$12,551,771	~\$13,291,275	~\$740k less

4. CAP RATE REALITY — 25 YEARS OF S&P; 500 HISTORY

Year	S&P; Return	Lincoln 13.5% cap	JH Base 11.65% cap	JH Nasdaq 14.0% cap	Diff: Lincoln vs JH Base
2000	-10.14%	0.00%	0.00%	0.00%	—
2001	-13.04%	0.00%	0.00%	0.00%	—
2002	-23.37%	0.00%	0.00%	0.00%	—
2003	26.38%	13.50%	11.65%	14.00%	+1.85%
2004	8.99%	8.99%	8.99%	8.99%	—
2005	3.00%	3.00%	3.00%	3.00%	—
2006	13.62%	13.50%	11.65%	13.62%	+1.85%
2007	3.53%	3.53%	3.53%	3.53%	—
2008	-38.49%	0.00%	0.00%	0.00%	—
2009	23.45%	13.50%	11.65%	14.00%	+1.85%
2010	12.78%	12.78%	11.65%	12.78%	+1.13%
2011	0.00%	0.00%	0.00%	0.00%	—
2012	13.41%	13.41%	11.65%	13.41%	+1.76%
2013	29.60%	13.50%	11.65%	14.00%	+1.85%
2014	11.39%	11.39%	11.39%	11.39%	—
2015	-0.73%	0.00%	0.00%	0.00%	—
2016	9.54%	9.54%	9.54%	9.54%	—
2017	19.42%	13.50%	11.65%	14.00%	+1.85%
2018	-6.24%	0.00%	0.00%	0.00%	—
2019	28.88%	13.50%	11.65%	14.00%	+1.85%
2020	16.26%	13.50%	11.65%	14.00%	+1.85%
2021	26.89%	13.50%	11.65%	14.00%	+1.85%
2022	-19.44%	0.00%	0.00%	0.00%	—
2023	24.23%	13.50%	11.65%	14.00%	+1.85%
2024	23.31%	13.50%	11.65%	14.00%	+1.85%
AVG	7.33%	7.91%	7.05%	8.09%	+0.86%

CAP RATE ANALYSIS

Lincoln 13.5% cap averaged 7.91%/yr JH Base 11.65% cap averaged 7.05%/yr JH Nasdaq 14.0% cap averaged 8.09%/yr JH Base cap left money on table in 12 out of 25 years (48% of all years) Annual gap: Lincoln beats JH Base by 0.86%/yr on average FIX: Switch to JH Nasdaq 14% cap — averages 8.09%, BEATS Lincoln's 7.91% and beats both by -0.18%/yr Key: 7 years had negative S&P;, both policies credited 0% (floor protected). Floor is the same regardless of cap.

5. JH THREE SCENARIOS — WHAT DOES THE ILLUSTRATION ACTUALLY SHOW?

Scenario	Rate Assumed	Year 20 Value	Net after Loan Yr 21	\$200k/yr Dists	Age 70 Death Benefit	Verdict
Worst Case (guaranteed 0%)	0%	\$2,391,573	LAPSES	None	NONE	✗ LAPSED
Midpoint / Low (~5.2%)	~5.2%	\$11,727,228	~\$2.9M	\$200k/yr until Age 82, then lapses	~\$8.8M at 80	■ Runs out Age 82
Assumed / Base (~6%)	~6%	\$13,301,220	\$4,104,291	\$200k/yr — FOREVER never lapses	\$12,551,771	✓ Sustainable for life

6. IMPORTANT CLARIFICATIONS FROM OUR ANALYSIS

Where is the 3.25% loan rate?

The 3.25% → 3.00% rate is the INTERNAL POLICY LOAN RATE — what JH charges when you take distributions (the \$200k/yr). It is NOT the external bank's premium financing rate. The bank's rate (SOFR+1%) is set in a SEPARATE loan agreement, NOT in this illustration. Both Lincoln and JH use the same external lender market for premium financing.

!	Are you paying for 20 years of premiums? No — the JH policy pays premiums for 12 years (not 20). Years 1-4: \$689,782/yr. Year 5: \$118,973. Year 6: \$295,509. Years 7-12: \$528,939. Year 13 onwards: \$0. The illustration confirms 'Years Premium Paid: 12'. It is 2 more years than Lincoln's 10 — but the lower bank loan rate compensates.
!	Why is your out-of-pocket \$0 if there are still charges? The \$0 means no cash ever leaves your bank account. But the \$1.8M in JH charges still EXIST — they reduce the policy's cash value silently each year. You pay it through reduced investment performance, not through writing checks. This is why the policy must earn 6%+ to sustain the distributions — it needs to overcome all the embedded charges.

7. FINAL VERDICT — IS THE JH POLICY WORTH IT vs LINCOLN?

JH WINS ON	LINCOLN WINS ON
✓ Double death benefit (\$10M vs \$5M) ✓ Conservative 6% assumed rate (safer projection) ✓ Lower premium load % (6-7% vs ~15%) ✓ Lower distribution loan rate (3.00%) ✓ Vitality PLUS health bonus (unique) ✓ Nasdaq 14% cap option (beats Lincoln) ✓ 1 extra year before loan repayment	✓ 1.7× cheaper per \$5M of coverage ✓ \$739,504 more in Year 20 policy value ✓ ~\$36k/yr more in distributions ✓ Higher base cap (13.5% vs 11.65%) ✓ Much lower admin/issue charges ✓ Simpler premium structure (flat 10 yrs) ✓ COI costs are minimal vs JH

THE BOTTOM LINE: The JH policy gives you 2× the death benefit but charges 1.7× more per dollar of coverage. The \$739k in extra charges directly reduces your Year 20 net cash and costs you ~\$36k/yr in lifetime distributions. If the only priority is maximising distributions and minimising costs, Lincoln is the better deal. If the priority is a \$10M permanent death benefit, JH is the only option here — but push back on the admin charges. The most important question: switch the JH index allocation to Nasdaq 14% cap (from Base Capped 11.65%) — this flips the cap disadvantage to a cap advantage at no extra cost. Also ask: is PPLI available? It would eliminate most of the \$1.8M in charges entirely.

Lincoln illustration: Lincoln Financial, March 10, 2026, \$5M WealthBuilder IUL, 7.19% assumed. JH illustration: John Hancock Life, April 30, 2026, \$10M Accumulation IUL, ~6% assumed. Charges derived from Annual Account Summary. Lincoln charges partially derived/estimated. Not financial, tax or legal advice.